

RETENTION, NOT PRICE

Twelve months on a 1,000-user cohort: revenue fell 52.6% almost entirely because subscribers left — the price each one pays barely moved.

1,000 → 476 USERS \$18,000 → \$8,540 MONTHLY REVENUE ARPU FLAT 12 MONTHS · 1 COHORT

THE BOTTOM LINE

Revenue is down because the base shrank, not because monetisation weakened. The active base halved over the year (1,000 → 476, 47.6% retained), while ARPU held near \$18 the whole time (a -0.3% move). A formal decomposition attributes 99.7% of the revenue decline to lost users and only 0.3% to price/mix. So the lever is **retention** — keeping the early-month users who are leaving fastest — not pricing or packaging. Alongside it, up to \$7,330 (4.8% of billable) leaked to failed payments on still-active accounts — gross, and partly recoverable via dunning.

-52.6%

REVENUE, M1 → M12

47.6%

USERS RETAINED AT M12

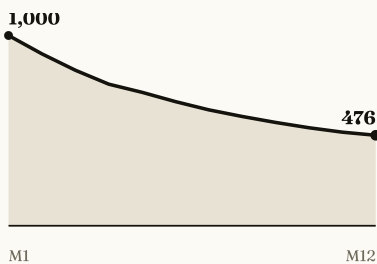
\$7,330

FAILED-PAYMENT LEAKAGE (GROSS)

WHAT THE DATA SHOWS

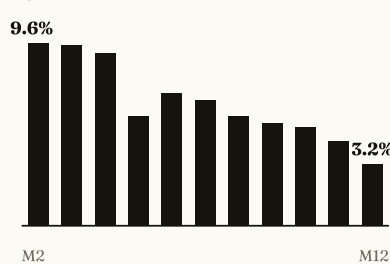
The base halved

Active users, month 1–12



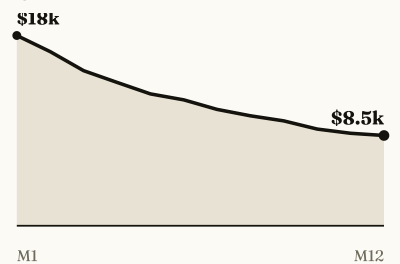
Churn is front-loaded

Monthly churn rate, month 2–12



Revenue follows volume

Monthly revenue, month 1–12



WHY REVENUE FELL — DECOMPOSITION OF THE \$9,460 DECLINE

Fewer users — 99.7% of the decline

Volume effect — the base shrank from 1,000 to 476

Price/mix effect — ARPU moved -0.3%, premium share held ~19–20%

Separately, \$7,330 (4.8% of billable) was lost to failed payments on active accounts — involuntary, not a cancellation. This is gross leakage; how much returns depends on dunning success (see action 1).

WHAT TO DO MONDAY

1 Recover failed payments **QUICK WIN**

Up to \$7,330 a year leaks from active users whose charge failed — not churn, just a broken charge. A dunning flow (retries, card-update prompts) wins back a share: at a 25 / 50 / 75% recovery rate that is \$1,832 / \$3,665 / \$5,498 a year, for minimal product work. **Owner:** payments / eng.

2 Fix early-month retention **MAIN LEVER**

Churn is highest in months 2–4 (9.6% → falling) and eases to 3.2% by M12. The damage is at onboarding. Investigate why churn peaks in months 2–4 — test whether it reflects onboarding, cohort mix, or how the data was simulated — then carry what works later into those early weeks. **Owner:** product / growth.

3 Refill the top of the funnel

It is a closed cohort with no new users, so the base can only fall. Even at the improved 3.2% churn, revenue keeps sliding without acquisition. This cohort view cannot measure acquisition efficiency, but it shows why acquisition is needed to offset natural decay. **Owner:** growth / marketing.

FACT

Early-month churn dominates and ARPU is flat — both read directly from the data. Revenue decline is a **volume** story.

HYPOTHESIS TO TEST

Some early churn may be **off-target leads**. The current dataset has no acquisition channel, so this needs channel + pre-purchase data to confirm — not asserted here.

NOTE ON THE DATA

Figures come from a reproducible synthetic cohort (seed 42); the method is real, the specific numbers are illustrative. On live data the same pipeline runs; conclusions are re-derived.